

Board Brief — Where We Stand, First Quarter 2026

Meridian Association of Facilities Professionals

Q1 2026 · Board meeting April 15, 2026 · Prepared by Engerman Solutions, April 8, 2026 · Three-page Board Brief

Status	Final — fictional sample. The April R2 workflow illustrates the release design; it is not evidence of a live client cycle. The current cash forecast is already inside the warning band.	Who reads what	Pages 1–3: Board Brief. Page 4: guide. Page 5 on: management summary. Nothing is asked beyond page 2.
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(168.5K) FIRST-QUARTER RESULT \$3.5K worse than the seasonal plan; the conference is recognized in May.	\$41.3K EXPECTED SURPLUS FOR THE YEAR Budget \$60.0K. Dues are the largest of nine reasons (page 3). No reserve draw requested.	\$402K LOWEST CASH EXPECTED, DEC 15 Floor \$387K; \$15K clear — inside the \$25K warning band. Treasurer notified.
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The Quarter Against Plan and Last Year

First quarter	Plan for the quarter	This year	Last year	Against plan	Against last year
Income (dues, education, sponsorship, grant funds used, investment)	396,000	390,600	373,000	(5,400) · (1.4%)	+4.7%
Expenses	561,000	559,100	528,400	(1,900) · (0.3%)	+5.8%
Result	(165,000)	(168,500)	(155,400)	(3,500)	(13,100) worse

The Q1 deficit is \$3,500 worse than the seasonal plan and \$13,100 worse than last year (income +4.7%, expenses +5.8%). The annual forecast remains a \$41,300 surplus against \$60,000 budgeted.

Four Things to Know

1 • Dues. Forecast \$28,800 below budget: \$22,600 from fewer members than planned and \$6,200 from rate and membership mix. January renewals are 91.0% against 93.0% planned. This is arithmetic attribution; the member-level explanation remains under review. Organizational renewal grace ends May 1.

2 • Conference. March 31 sales are ahead of the same date last year: 142 booths versus 128, sponsorship \$214,000 versus \$188,000, and 1,036 registrations versus 912. The priced forecast is \$18,000 above budget. Revenue is recognized in May; the settled result follows in June.

3 • Cash. The December 15 baseline is \$402,400, only \$15,400 above the \$387,000 floor. Delaying two counterparties' \$31,000 conference balances beyond December puts cash \$15,600 below the floor. Cancellation can require funding before insurance pays; page 2 shows the exposure and the governing response.

4 • Service. The education vacancy puts the Q3 course launch at risk. The CEO confirms capacity by June 1. Any added subsidy or reserve use returns to the board.

What went well. New members 307 against 280 planned; certifications 184 against 170; course completion 88.1% against 85.0%; the reserve returned 1.33% against a 1.02% benchmark.

On April 15 the board is asked to receive the report (G1), note the amendment test (G2) and vote on two items: refer the renewal assumption (G3) and adopt the cash safeguard (G4). No reserve draw and no funding decision is requested. Management executes the operating response; the board sets policy and authorizes funding. Wording on page 2.

Board Actions — April 15, 2026

Meridian Association of Facilities Professionals · The register, the wording, the downside scenario, three questions

What the Board Is Asked to Do — Governance Only

#	Action · form	Proposed wording · drafted for the chair; the board adopts, amends or declines	Owner · by when
G1	Receive the Q1 report · Consent	<i>RESOLVED, that the Board receives the Q1 FY2026 financial report. Receiving acknowledges; it does not certify.</i>	Board · April 15
G2	Note the budget-amendment test · Note, no vote	<i>Minuted: forecast expense is \$11,900 above budget, below the \$50,000 amendment threshold; no reserve draw. A forecast is not spending authority.</i>	Finance Committee · April 15
G3	Refer the renewal assumption · Vote	<i>RESOLVED, that the Membership Committee review the FY2027 renewal assumption with management's cohort analysis and report June 17, 2026.</i>	Membership Committee · June 17
G4	Adopt the cash safeguard, effective immediately · Vote	<i>RESOLVED, effective immediately, that management refresh the cash forecast monthly and after any material event; notify the Treasurer within five business days when projected operating cash is at or below the floor plus \$25,000; and return any projected breach of the floor to the Board for funding authority. The current warning is acknowledged.</i>	Treasurer · now, then monthly

The Downside Scenario — Conference Cancellation, Uninsured and Insured

No funding decision is requested today; the table shows what a cancellation would do to cash before the board is asked to act. Venue terms: p. 8.

Operating cash	Baseline (\$)	Uninsured (\$)	Insured (\$)	Read
June 30	1,265,400	675,400	675,400	Exposure \$590,000: refunds \$381,000 + lost collections \$477,000 + venue cancellation fee \$131,500 (contract, p. 8) – direct costs avoided \$399,500. June is not the low.
September 30, before the claim pays	875,400	285,400	285,400	\$101,600 below the floor in both cases if the other September flows run first; the daily sequence sets the earliest funding date.
September 30, after the claim pays	875,400	285,400	850,400	Insured only: \$565,000 after the deductible — an assumption until the broker confirms cover and timing.
December 15	402,400	(187,600)	377,400	Uninsured: negative. Insured: \$9,600 below the floor before the response.
December 31	440,400	(149,600)	415,400	FY2027 renewals begin the recovery.

Uninsured cancellation needs \$187,600 to avoid negative cash, or \$574,600 to preserve the \$387,000 floor. The larger reserve draw would leave \$405,400, only 2.1 months against the four-month minimum. Insurance does not remove the earlier need: the tested September ordering leaves a \$101,600 floor shortfall before payment. Management must establish the first breach date and an executable funding source before that breach; ten business days is the outer limit. Only the board may authorize reserve use or a policy exception. Section 8. The attrition case is on p. 8.

Three Questions Directors Will Ask — and the Response to the Cash Warning

Question	Short answer (detail: Sections 4 and 11)
Does the response cure the warning?	At the tested December dates, yes, if executed: \$499,400 on December 15 and \$465,400 on December 31 — the lower is \$78,400 above the floor, \$434,400 with the \$31,000 delay. It does not fund the September pre-insurance gap. Not assumed executed; all dates re-tested April 30.
Are we approving a reserve draw today?	No. G4 sets the safeguard and escalation rule. If a breach is projected, management returns with a dated funding amount and source. Only the board authorizes reserve use or a policy exception.
Checked by someone other than the preparer?	The fictional April workflow records an independent recheck after regeneration and before CEO acceptance. Section 11 shows its scope and correction history; production evidence is required for a real client release.

Next: April 30 refresh · May 1 grace closes · May 18–20 conference · June 10 Brief for June 17. Owners: Section 9.

The Quarter in Three Pictures

Meridian Association of Facilities Professionals · Q1 2026 · Each picture is drawn from the management summary

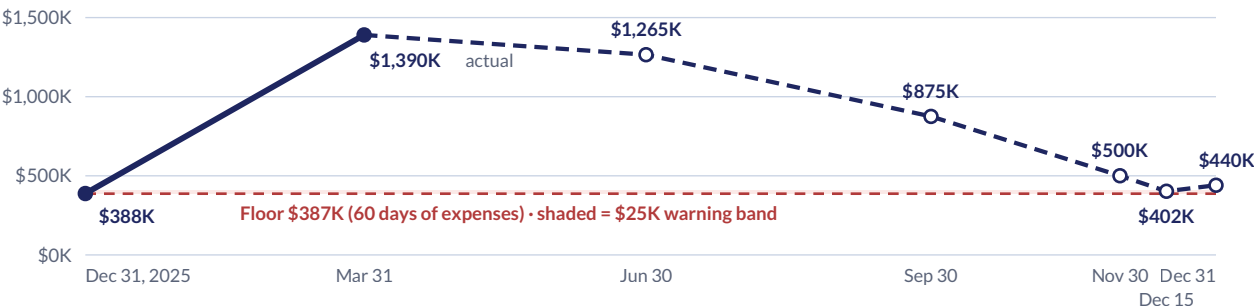
1 · Conference Sales at March 31 vs Last Year, Same Date



Commitments, not recognized revenue; the income is counted in May. Section 4.

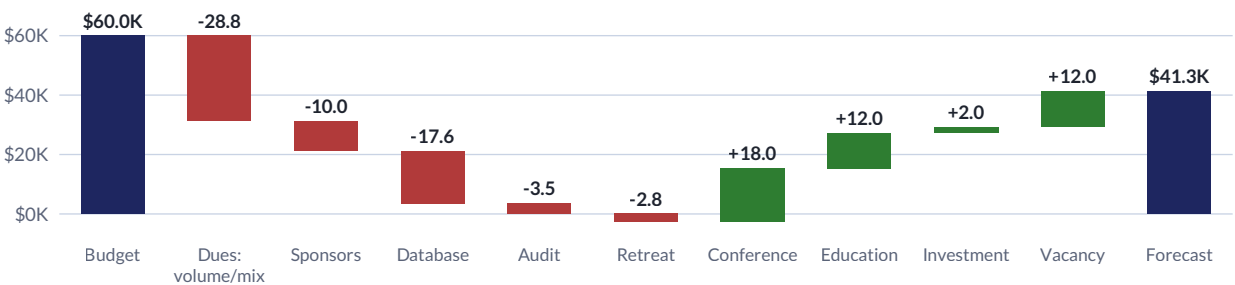
2 · Operating Cash — Actual to March, Forecast to December

Actual: Dec 31, 2025 and Mar 31, 2026 · forecast thereafter · dated balances disclosed in Section 4 only; lines do not establish balances between dates



Operating cash only; reserves and restricted cash are separate. Points are the dated balances disclosed in Section 4; connecting lines do not establish balances between those dates. The baseline December 15 low is \$402,400; the collection-delay case is \$371,400. Cancellation funding is addressed on page 2. Section 4.

3 · From Budgeted Surplus to Forecast — What Moved, in Thousands



Nine drivers connect the approved budget to the current outlook; red lowers the surplus, green raises it. Section 4.

At a Glance — Members, Service, Reserve · March 31, 2026

4,210 Members plan 4,300 · a year ago 4,150	91.0% January renewals plan 93.0% · last year 90.2%	184 of 231 Certifications awarded, Q1 plan 170 · a year ago 151	88.1% Course completion, 612 of 695 plan 85.0%	\$25.9K / \$30K Education subsidy vs approval launch at risk · plan by Jun 1	5.0 months Reserve · Q1 return +1.33% vs +1.02% one CD above 8% target, in limit
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